Westpac Business Signal October 2026

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Share

Energy Shock squeezes margins.



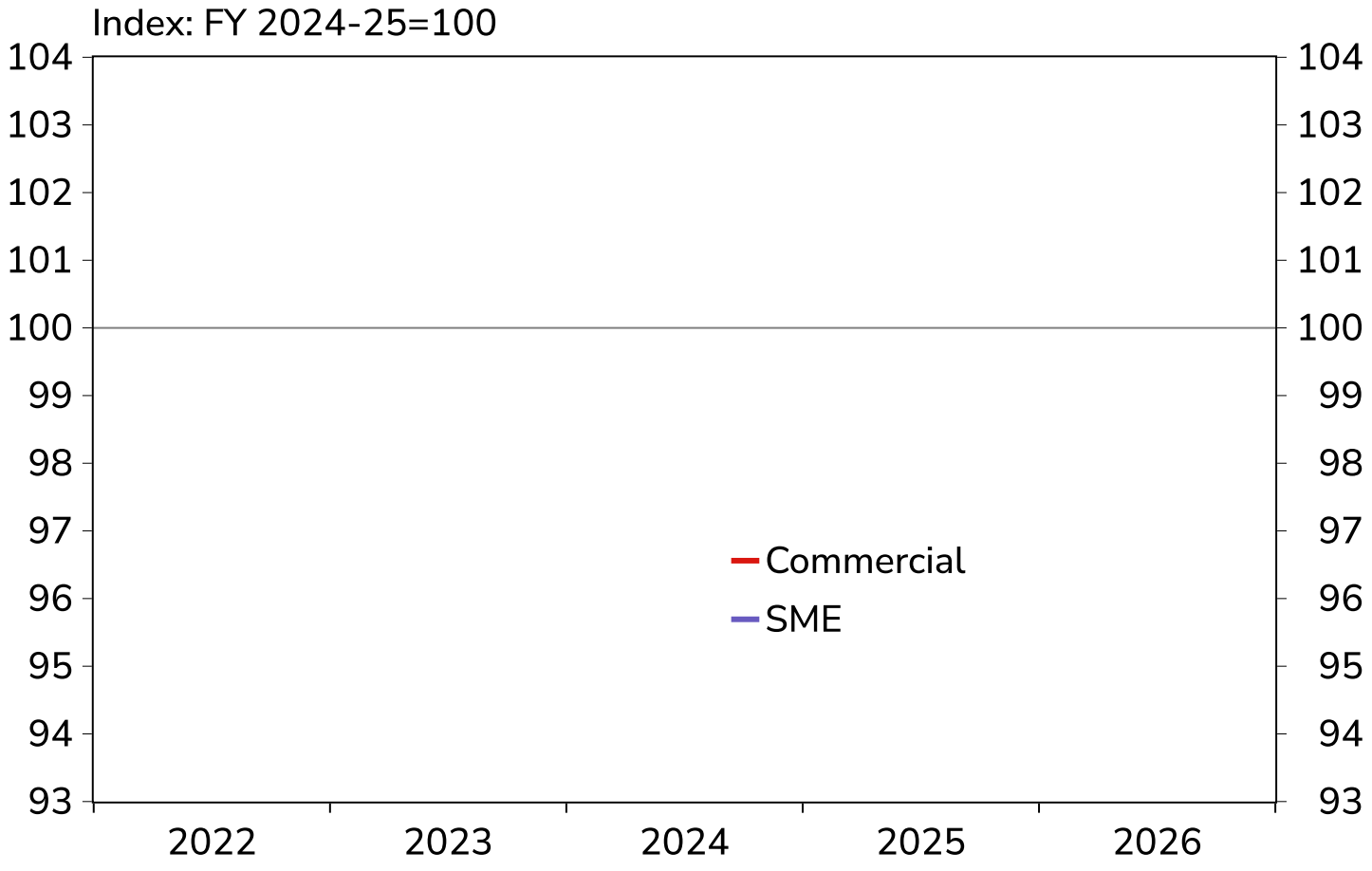
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- Business conditions weakened in Q3 as expenses outpaced revenue, and a rising share of businesses were finding conditions more challenging. The Westpac Business Performance Gauge (the ratio of operating revenues to operating expenses) fell 1.3%qtr and was 2.3% lower than a year ago.
- Operating expenses rose 1.8%qtr against revenue growth of 0.5%. Fuel recorded the largest increase as the Middle East conflict, and the end of the government's fuel excise tax cut, saw prices rise over the quarter. The wage bill also rose, with the minimum wage/award increase and Payday Super likely contributing, particularly among SMEs. Revenue growth eased, with external and business-to-business revenue offsetting softer government-related activity, and household spending momentum faded through the quarter.
- The Cashflow Gauge, which includes debt servicing net of taxes, fell by more, 1.7%qtr, and was 2.8% lower than a year ago. Debt-servicing costs rose 5.7%qtr and were 12.7% higher than a year ago as the RBA's recent tightening unwound all of the 2025 rate cuts.
- Around one in four businesses were constrained, the highest since Q3 2023, while the share improving was the lowest since early 2023.
- SME conditions weakened for a third consecutive quarter and remain weaker than those of Commercial (see chart). The softness is also becoming more broad based, with the Commercial and Large Corporate gauges falling in Q3, although for Large Corporates the weakness was concentrated in a few industries.
- The Industry Performance Gauge, which covers 15 industries, rose 0.3%qtr but was 1.6% lower than a year ago. The gain was concentrated in a few services industries, partly reflecting a step-up in revenue among a small number of large businesses.
- Consumer-facing industries rose 1.7%qtr, but the gain came from lower expenses rather than stronger revenues as businesses looked to manage costs. Construction was supported by a strong pipeline of work, including data centres, but expenses rose faster than revenue and margins came under pressure.
- Agriculture was the stand out among the industries most exposed to fuel, supported by stronger commodity prices and external demand. Expenses also fell back, although the relief is unlikely to last with diesel prices rising again. Fuel cost recovery arrangements continued to protect Transport margins.
- Conditions weakened in most states, with the sharpest falls in SA and TAS. NSW fell to its weakest level since mid-2022, with volatility in ICT the main driver. VIC was the outlier, rising 1.5%qtr on data centre investment and business services, but the gains are yet to generate broader momentum.
- Higher input costs, inflation and interest rates are expected to weigh further on domestic demand slowing economic growth to around 1.5%yr by end-2026. Against this backdrop, business conditions are likely to remain uneven, with weakness concentrated in consumer demand and housing, while investment in data centres, IT software, renewables and defence supports business services and construction.
- With inflation still well above target in Q3, we expect the RBA to raise the cash rate by 25bp to 4.85% in November.2 Further increases are not our baseline, but with Q4 inflation likely to be strong, the

risk of another rise, most likely in February, has increased. We expect cuts to start in Q3 2027, but remain elevated.

- Conditions should improve from the second half of 2027 as fuel prices ease and house prices stabilise, with fuel-intensive industries and housing-related activity likely to benefit first, although the recovery is expected to be gradual and margins are likely to remain under pressure for most of next year.
- The Middle East conflict remains a key risk. In an adverse scenario, energy prices would stay higher for longer peaking at around US$150/bbl, with broader spillovers to other prices, adding to the risk of further rate rises. The RBA would face a difficult trade-off between inflation and weaker household spending and investment, and energy-intensive industries would be hit hardest.

Westpac Business Performance Gauge



Source: , Macrobond, Westpac Economics

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